SYSTEMATIC CORPORATE CREDIT · STRATEGY TEARSHEET

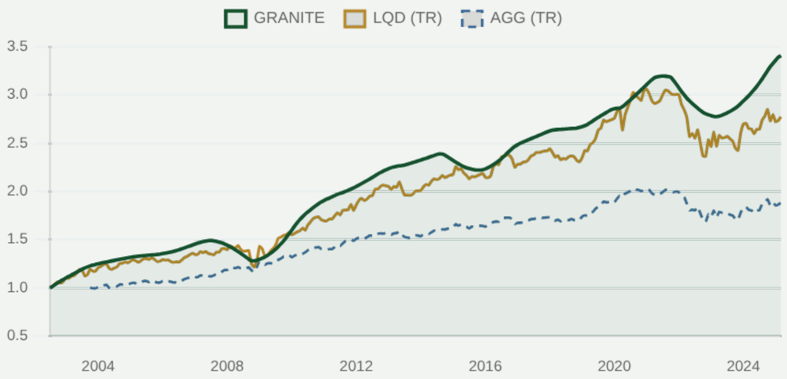
GRANITE

Dislocation-reversion in individual corporate bonds — buying forced-seller mispricings on the TRACE tape. Bias-audited, 22-year backtest.

Asset class · US corporates IG+HY (CUSIP-level)
Backtest · 2002–2025 (survivorship-complete)
Benchmark · LQD (IG corp) & AGG (US agg)
Universe · 73,835 bonds · 30M obs

+2.1%	76%	+1.6%	+5.57%	+240.9%	-14.1%
EXCESS VS CTRL	WIN RATE	OOS EXCESS	CAGR	TOTAL (22.6Y)	MAX DD*
p<0.001	68,721 trades	2016–2025	LQD +4.62%	LQD +177.5%	LQD -25.0%

GROWTH OF $1 — TOTAL RETURN VS LQD & AGG



	Total	CAGR	Max DD*
GRANITE strategy	+240.9%	+5.57%	-14.1%
LQD — IG corp (TR)	+177.5%	+4.62%	-25.0%
AGG — US agg (TR, from 2003-09)	+88.6%	+3.01%	-18.4%

Common window from 2003-09 (AGG inception, no backfill): strategy +4.89% · LQD +4.07% · AGG +3.01% CAGR

REGIME ROBUSTNESS — EXCESS VS MATCHED CONTROL

Era	Trades	Win	Mean/tr	Excess	p
2004-2007	9,686	73%	+2.28%	+0.51%	0.02
2008-2009 GFC	7,142	73%	+18.50%	+0.27%	0.38
2010-2015	14,718	83%	+6.62%	+1.93%	<.001
2016-2019	10,480	85%	+10.96%	+3.26%	<.001
2020 COVID	8,885	96%	+12.32%	+4.14%	<.001
2021-2023	18,671	46%	+0.48%	+0.59%	<.001

THE STRATEGY

Buy when a bond's ask prints **≥3 pts below its trailing 60-day median clean price** (a forced-seller dislocation) and it clears a trailing-liquidity gate. **Fill** at the ask. **Hold ~1 year**; **exit** at the bid. Parameters transferred verbatim from the muni strategy — zero corporate-specific fitting.

SIGNAL STRENGTH BY DEPTH (FULL SAMPLE)

Threshold	Trades	Win	Excess	p
≥1.0pt below	116,549	74%	-0.00%	0.57
≥2.0pt below	88,748	75%	+0.90%	<.001
≥3.0pt below	68,721	76%	+2.06%	<.001
≥4.0pt below	54,688	77%	+3.49%	<.001

IN-SAMPLE → OUT-OF-SAMPLE

Window	Trades	Mean/tr	Excess
In-sample 2002–2015	35,023	+10.21%	+3.37%
Out-of-sample 2016–2025	34,834	+5.97%	+1.63%

Recommended book — GRANITE-XL (≤5y · issuer cap · limit entry · depth sizing · recovery exit)

Five frozen rules, each OOS-validated: ≤5y duration; 1 position/issuer; **limit entry** (fill only if ask ≤ prior mid + 0.25 — the cap also transfers *in reverse* to munis, four independent validating samples); size ∝ depth; **recovery exit** (first bid ≥21d once mid recovers to entry-day median). One-shot OOS 2016–25, paired on identical entries: **CAGR +17.1%, Sharpe 1.03, maxDD −34%** (honest daily marks; IS +19.2%/1.15). *2026-08 audit: that carry is the panel's median-yield proxy. On recovered **real coupons** the same fills give **OOS +12.6–14.2% / Sharpe(m) 0.84–0.86** (IS +17.8%/1.09, full +14.7%/0.93); implementable live-protocol replays land at OOS +10.7–11.5%. Monthly Sharpe is smoothed (autocorr 0.38) — annual-frequency ~0.5–0.65. **Budget OOS CAGR +11–14%.** The base book above is carry-proxy-insensitive and stands. Full audit: XL_AUDIT.md.* Excess positive in all six eras incl. GFC and 2021–23; strongest in the most-liquid quartile. A 13-family Sharpe-3 search was killed by pre-registered gates — the honest frontier is Sharpe ~1.0–1.2; CAGR-10 is met OOS, Sharpe-3 requires hedging instruments this data lacks.

BIAS AUDIT

- Survivorship: full TRACE tape, defaulters retained; 7–14% stale-exit losses taken.
- Selection: all 55,545 bonds, not a top-N cut.
- Look-ahead: point-in-time; params transferred from munis (no corp fitting).

ANTI-OVERFITTING

- Regime & credit overlays **rejected** for failing OOS (+0.94% / +0.64% vs base +1.63%).
- Signal monotone in depth; IS & OOS both p<0.001.
- Duration lever **accepted**: monotone, structural, improves IS *and* OOS (repairs GFC).

DATA & EXECUTION

- Source: Open Source Bond Asset Pricing (TRACE), free.
- Fills at actual daily bid/ask (spread paid).
- Deeper thresholds (≥4pt) concentrate the alpha.